



# Next Generation of Policy Frameworks and Modeling

WEEK 2 • JUNE 15-19, 2026

## DynareJulia and FPAS Mark II:

Forecasting, Scenario Building, and Risk Analysis

DAY 1 • Monday, June 15 — Current Conditions

*Where is the economy now? Data, weekly briefings, and the forecasting cycle.*



# Week 2 at a Glance

June 15-19, 2026 — A full policy cycle compressed into five days

|                                                                                                                                                     |                                                                                                                                                                       |                                                                                                                                                |                                                                                                                                                       |                                                                                                                                                                  |
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| <div>DAY 1</div> <div>Mon · Jun 15</div> <div>Current Conditions</div> <div>Data update, weekly briefings, where-is-the-economy-now workflow.</div> | <div>DAY 2</div> <div>Tue · Jun 16</div> <div>Market Reference &amp; Case A/B</div> <div>Scenario construction: market reference, Case A and Case B narratives.</div> | <div>DAY 3</div> <div>Wed · Jun 17</div> <div>Taxonomy &amp; Risks</div> <div>Full taxonomy of scenarios, dark corners, risk assessment.</div> | <div>DAY 4</div> <div>Thu · Jun 18</div> <div>Trade-offs &amp; DynareJulia</div> <div>Policy trade-off analysis and DynareJulia implementation.</div> | <div>DAY 5</div> <div>Fri · Jun 19</div> <div>MPR &amp; Communication</div> <div>Drafting the MPR, Python pipelines, transparency and Board communication.</div> |
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DAY 1 • MONDAY, JUNE 15

# Where is the economy now?

*Current analysis is the foundation of every policy round*

## THE STARTING POINT

### Current Analysis

- Continuous monitoring of global and domestic economic developments
- Data assessment, underlying forces, and unobserved variables
- Not confined to policy rounds — it runs every day, every week
- Narrative-based: tell a macro-consistent story, test alternative hypotheses
- Feeds directly into scenario design and Board deliberation

## THE RHYTHM

### Weekly Analytical Briefings

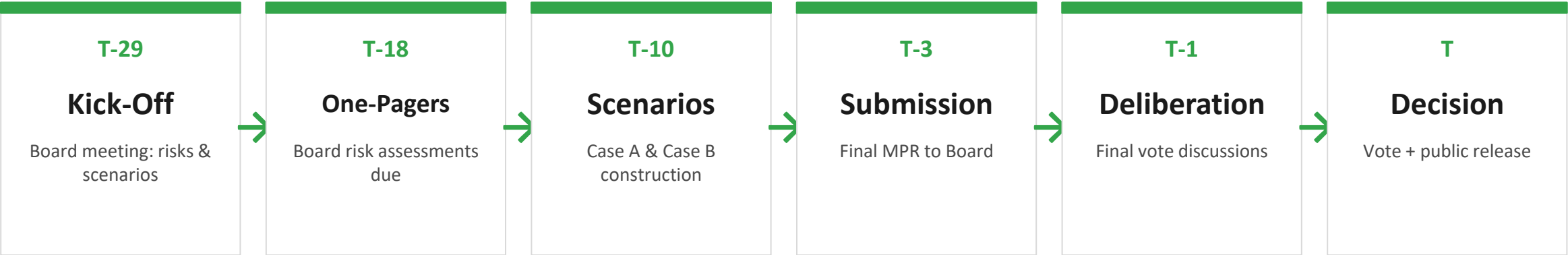
- Every Wednesday afternoon — without fail
- Staff selects one policy-relevant topic and presents it to the Board
- Board members propose hypotheses and interpretations, not just receive updates
- Analysis is narrative-based and tests multiple hypotheses
- Feeds the Monetary Policy Report and the Taxonomy of Scenarios



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# The 29-Day Policymaking Round

*A continuous cycle — the decision is the visible output of weeks of work*



*Workload split during policymaking rounds:*

**50%**

Drafting reports & communications

**25%**

Current analysis

**25%**

Scenario building



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# Team Structure for the Round

*Six economists, clear roles, equal intellectual contribution*

## 1 Coordinator

*Focus: Domestic & Global*

Organizational lead — sets direction, manages deadlines, presents to Board at flagship meetings.

## 2 Board Coordinators

*Focus: Domestic Economy*

Work directly with Board members to draft Initial Macro Risk Assessments in the first two weeks.

## 2 'Not-the-Model' Operators

*Focus: Global Economy*

Quantify illustrative scenarios using core models. Named to remind: models don't think — economists do.

## 1 Contributor

*Focus: Domestic Economy*

Full analytical and drafting responsibility alongside the others. No specialized role.



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# Live example: Armenia Q1 2026

*What does 'where are we now?' actually look like in a real round?*

## GLOBAL

- US Q4 2025 GDP slowed to 0.7% annualized
- Middle East escalation → oil spikes to \$90-100/bbl
- Euro area Q4 growth: just 0.2% Q-o-Q
- Russia Q4 2025 GDP: +1% Y-o-Y (below trend)

## DOMESTIC

- Armenia Q4 2025 GDP: +9.8% Y-o-Y
- Growth driven by construction and services
- Mixed signals: strong consumption vs concentrated growth
- Small positive output gap — but uncertain

## INFLATION & LABOR

- CPI: 4.3% Y-o-Y (Feb 2026) — above the 3% target
- Core inflation: 4.7% Y-o-Y, broad-based
- Private wage growth: 5.0% Y-o-Y, stabilizing
- Unemployment: 11.8% — near the estimated natural rate

## FINANCIAL

- Policy rate: 6.50%, neutral level around 6.25%
- Country risk premium down 25bp since Aug 8, 2025
- Fitch (Jan) & S&P (Feb) upgrade outlook to 'positive'
- Strong capital inflows into AMD bonds



DAY 1 • MONDAY, JUNE 15

# From Data to Policy Discussion

*Current analysis isn't just data — it's framing for the rest of the round*

01

## Observe

Hard data, high-frequency indicators, surveys, market pricing

02

## Interpret

Underlying forces, unobserved variables, narrative hypotheses

03

## Challenge

Weekly Board briefings test alternatives and sharpen views

04

## Frame

Feeds the Taxonomy of Scenarios for the coming policy round

*By end of Day 1: participants have mapped current conditions for a country of their choice — ready to build scenarios on Day 2.*



# Day 1 Takeaways

1

## Understand the cycle

The 29-day policymaking round is a continuous process, not a discrete event. Most work happens before the Board meets.

2

## Analysis is continuous

Weekly Wednesday briefings ensure Board engagement throughout the quarter, not just at decision points.

3

## Narrative over numbers

Current analysis tests hypotheses and tells a macro-consistent story — it does not chase a single point estimate.

4

## Framing for scenarios

Day 1's current analysis directly feeds Day 2's Market Reference and Case A/B construction.





# Great Things are Coming.

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## Website

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## Venue

Chulalongkorn University · Bangkok, Thailand

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